The Rise of Private Equity in Sports

- Educational Presentation #20 – Private Equity
- Date of publication: 09.03.2026
- Property of the ESCP Alternative Investment Society (AIS)
- Sources: Ally Financial, Telecoming, Juniper Research, Apollo, Goldman Sachs, Houlihan Lokey, Thomson Reuters, Sportico, Formula Rapida, McKinsey, CVC, Oaklins, Meketa, Deloitte

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Section I: Introduction

Introduction

Why the Sports Industry Is Attractive for Private Equity

Industry Characteristics

- One of the oldest and most deeply rooted forms of entertainment
- Global and cross-generational demand
- 46% of the world‘s population follows sport
- Global fan base growing 3.7bn (2024) → 3.9bn (2028)
- Increasing institutionalization and professionalization of ownership
- Multi-revenue model: Broadcasting rights, Sponsorship & commercial partnerships, Matchday revenues & Merchandising
- Sports assets show low correlation with public markets, providing diversification benefits in volatile macro environments (e.g. geopolitical shocks, pandemics)

→ Large, global, structurally resilient industry

Financial attractiveness



- Fans spend on average ≈ $1,600 per year supporting their teams



- “Fanatical“ fans spend ≈ $2,200 annually



- Digital sports spending globally: $57.8bn (2024) → $101.3bn (2028) (+76%)



- Digital ticketing alone: $43.2bn → $71.1bn



- Fan engagement services growing even faster (20% YoY)

→ Recurring, diversified and fast-growing revenue streams

Source(s): Ally Financial (2025) Telecoming/ Juniper Research (2024)

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Sports as an Attractive Asset Class

Structural Drivers Behind Sports as an Investment Class

Scarcity & Structural Demand

Limited Supply	• Fixed number of elite franchises and leagues • Restricted entry (closed US leagues, licensing systems in Europe)
Growing Global Demand	• Expanding global fan base • Rising women‘s sports engagement
Emerging Digital Markets	• Strong digital growth in emerging regions (e.g. Turkey: +160% 2024-2028)
Stable Franchise Structure	• Closed league structures in the U.S. eliminate relegation risk, making franchise valuations more stable than many European clubs

Competitive & Financial Strength

Brand Moats	• Strong emotional attachment and switching costs • Generational loyalty
Pricing Power	• Tickets, sponsorships, media rights • Premium global brands
Revenue Visibility	• Long-term media contracts • Multi-channel monetization (stadium & digital) • Scalable global distribution via digital platforms

- Scarcity, global growth and strong brand loyalty make sports assets attractive for long-term investors
- Relegation risk in European leagues increases volatility in revenues and valuations (e.g. Leeds)

Source(s): Ally Financial (2025) Telecoming/ Juniper Research (2024)

Investment Rationale for Private Equity in Sports

Structural Drivers Supporting Long-Term Value Creation in the Sports Industry

1.Predictable and recurring cash flows (media, sponsorship, subscriptions)

+

2. Digital monetization provides EBITDA growth opportunities

+

3. Potential for operational professionalization (data, commercial strategy, global diversification)

+

4. Diversification vs. traditional cyclical industries

+

5. Long-term value creation rather than short-term trading

+

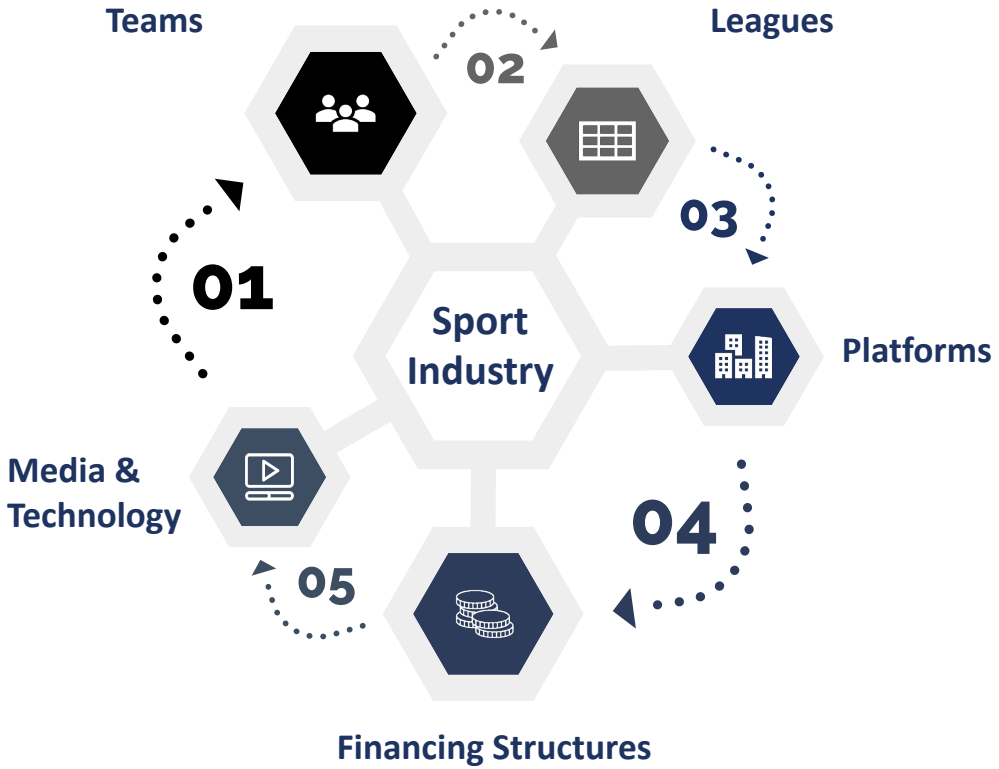
6. Scarce trophy assets —> potential for multiple expansion

Highly attractive alternative investment class for private equity

Section II: Investment Structures in Sports

Investment Structures in the Sports Industry

Private Equity Invests Across the Sports Ecosystem Through a Variety of Ownership and Financing Structures



PE invests across the ecosystem, not just in teams

How Private Equity Invests in Sports

- Private equity can access the sports industry through several distinct structures, ranging from direct team ownership to investments in surrounding infrastructure and revenue streams

Main structures:

- Direct investment in sports teams
- League-level capital partnerships
- Multi-club ownership platforms
- Sports ecosystem investments
- Revenue-based financing structures

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Direct Equity Investments in Teams

One of the Most Direct Ways for Private Equity to Enter the Sports Industry Is Through Equity Stakes in Professional Sports Teams



Description

- Private equity acquires minority or majority stakes in teams
- Often structured as minority ownership due to league rules



Why PE invests

- Rapid franchise value appreciation
- Global fan bases
- Media rights growth



Typical investor rights

- Board representation
- Strategic input on commercial growth
- Governance participation

Deal Structure Overview

Private Equity Fund → Minority Equity Stake → Professional Sports Team

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League-Level Investments

The Shift from Owning a Team to Owning the Ecosystem That Every Team Competes Within

PE Fund:
Acquires minority stake in the league entity

↓

League / Governing Body:
Central IP holder, owns media rights, brand & data

↓

Revenue Streams:
Media rights, Sponsorships, Events, Licensing

↓

Returns to Investors:
Dividends, capital appreciation, eventual exit

Diversified Revenue Base

Income flows from every club in the competition, no single-team dependency. Media rights are negotiated and distributed centrally regardless of individual club performance.

Infrastructure-Grade Cash Flows

Multi-year media contracts (10-25yrs) provide long-term cash flow visibility comparable to toll roads or utility assets, enabling investment-grade debt financing against rights.

Governance & Commercial Leverage

Board representation enables PE to influence digital strategy, international market expansion, data monetization and cross-league commercial partnerships.

Example: **CVC Global Sport Group**	$14bn	8	4×	€2.75bn
	Assets Under Management	Leagues in Portfolio	F1 Return (2016 exit)	Investment-Grade Debt Raised

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Multi-Club Ownership Platforms

How Private Equity–Backed Holding Companies Manage Multiple Football Clubs to Create Operational Synergies and Global Talent Pipelines

Ownership Structure



Strategic Role in Sports Investments

Operational Synergies	• Shared scouting networks and player analytics across clubs • Centralized commercial operations and sponsorship partnerships
Talent Development & Transfers	• Structured player development pipeline between clubs • Ability to move players across leagues as they develop
Value Creation	• Lower player acquisition costs through early talent identification • Increased transfer revenues and long-term club value

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Investments in the Sports Ecosystem

Private equity increasingly invests across the broader sports ecosystem, targeting scalable businesses surrounding teams, media, and fans

- Private equity often invests around sports teams rather than directly in clubs, focusing on scalable platforms such as media, infrastructure, technology, and fan engagement services

The examples below highlight key areas where private equity invests across the sports ecosystem:



Ticketing Platforms

Digital platforms that manage ticket sales, pricing, and fan access to sporting events

Enables digital fan monetization and recurring platform revenues



Stadium & Arena Infrastructure

Investment in stadium construction, arena management, and venue operations for sports and entertainment events

Provides long-term infrastructure cash flows and stable revenue streams



Media & Broadcasting

Sports leagues generate significant revenue through broadcasting rights and streaming distribution

Captures value from global sports content distribution



Sports Technology & Analytics

Technology companies supporting performance analytics, fan engagement platforms, and digital data solutions for teams and leagues

Drives data-driven performance and digital fan engagement

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Section III: Value Creation in Sports Investments

The PE Value Creation Playbook in Sports

Four Core Levers Through Which Private Equity Drives Value Across Sports Assets

Private equity drives value in sports through revenue growth, operational improvements, digital transformation, and ecosystem expansion. The examples below highlight key value creation strategies used across sports investments:

Revenue Growth

- Growth through optimization of media rights, sponsorships, and commercial partnerships as well as premium ticket pricing, hospitality offerings, and global fan monetization
- Global sports media rights valued at $62.6bn (2024) and forecast to exceed $78bn by 2030
- US market alone surged 122% over past decade

Operational Efficiency

- Data analytics and performance technology improving player and team decisions
- Centralized back-office, governance improvements, and professional management
- For Example: Ajax AI system (in-house analytics), reduces scouting time by 70% and talent identification by 45%

Digital & Technology Expansion

- Development of streaming platforms and digital content distribution
- DTC streaming platforms enabling clubs to own fan relationships and data
- Sports betting partnerships creating new revenue streams
- Fan engagement expected to grow 15-20% CAGR through 2028

Portfolio & Real Estate

- Multi-club ownership platforms creating scouting and talent synergies
- Stadium-adjacent real estate and mixed-use districts (hotels, retail, entertainment) adding recurring, non-game-day cash flows to club P&Ls
- MCO platforms: City Football Group (13 clubs), RedBird, FSG

Source(s): Apollo Global Management, Telecoming/Juniper Research (2024), Goldman Sachs, Houlihan Lokey

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Revenue Growth: The Core Commercial Engine

How Private Equity Unlocks Diversified, Scalable Revenue Streams Across Sports Assets

Commercial Growth Drivers

Media & Broadcasting Rights	Long-term broadcasting contracts create predictable, inflation-linked revenue. Private equity renegotiates media rights to maximize global distribution value
Sponsorship & Partnerships	Institutional investor networks help extract premium pricing from global brands through sponsorship deals, naming rights, and cross-league partnerships
Matchday & Hospitality	Stadium redevelopment, premium seating, and hospitality offerings significantly increase revenue per visitor and expand matchday income

$76bn
NBA media deal record (2024). Sets new benchmark

+17%
Liverpool as an example: Revenue growth YoY 2024/25 to £703m total

Structural Revenue Advantages

Long-Term Revenue Predictability	Multi-year media rights and sponsorship contracts create 5-10Y visibility. Inflation-linked agreements and recurring revenue reduce cash flow volatility and support leverage
Multiple Expansion Potential	Sports franchises trade at 6-8x revenue multiples vs. 2-3x for traditional media. PE can shift revenue mix from performance-sensitive to recurring, driving expansion
Instit. Capital Inflows & Scarcity	Limited premium sports assets plus rising institutional demand drive year-over-year valuation appreciation

6-8%
Revenues multiples for premium franchises vs. 2-3x for traditional media

8-12%
CAGR Big Five franchise appreciation, driven by institutional demand and scarcity

Together, these revenue drivers create scalable, diversified income streams that support long-term asset appreciation and stable cash flows in sports investments

Source(s): Apollo Global Management, Telecoming/Juniper Research (2024), Goldman Sachs, Houlihan Lokey

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Operational Professionalization & Digital Transformation

PE Brings Institutional Expertise, Technology, and Data to Modernize Sports Operations

Operational Professionalization	
Governance Restructuring	PE installs professional management: CFOs, commercial directors, analytics teams. These replace informal structures with institutional discipline
Analytics & Scouting Technology	AI-driven scouting models identify undervalued talent and predict performance. AFC Ajax model: develop young talent, sell at premium. Reduces costly transfer mistakes
Facilities Modern-ization	Capital investment in training grounds and stadiums improves player performance, sponsorship appeal, and long-term asset value
Cost Discipline	Portfolio benchmarking reduces wasteful spending across overhead, contracts, and procurement. AI tools projected to save professionals 12hrs/week by 2029

Digital Transformation	
OTT & Streaming Platforms	Owned media channels allow direct monetization of global fans. 50% of European sports fans now watch live games via streaming (Telecoming). Bypasses broadcast intermediaries
Fan Engage-ment & CRM	PE-backed clubs invest in mobile apps and loyalty programs. 75% of European sports fans use mobile apps to follow teams
Data Monet-ization	Aggregating player and fan data creates B2B revenue streams via analytics licensing, betting data partnerships, and fantasy sports integrations
AI & Personal-ization	AI-driven content tools personalize experiences for global audiences: key for MENA, Asia, and Latin America. 40% of European fans use social media to interact with other fans

Source(s): Apollo Global Management, Telecoming/Juniper Research (2024), Thomson Reuters

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Return Routes and Drivers

Multiple Levers of Value Creation Underpin Attractive Risk-Adjusted Returns

Exit Routes	
Secondary Sale	Most common route: Sale to another PE firm, institutional investor, or family office. Narrow IPO paths in sports reinforce this as the primary exit
Strategic Sale	Full/partial sale to media group or sports holding company at a valuation premium. CVC sale of F1 to Liberty Media for 4x return
Partial Recapital-ization	Refinancing to return capital while retaining upside. Used by leagues and multi-team platforms with stable contracted cash flows
IPO / SPAC	Limited to franchise-holding companies. Growing for sports media and tech platforms (e.g. Manchester United NYSE listing, WWE/TKO)

Return Drivers and Illustrative Benchmarks	
Franchise Value Appreciation	RASFI (Ross-Arctos): outperforms equities (10.5%), 60/40 (9.0%), gold (6.7%), bonds (5.8%). No major N. American franchise defaulted during Covid
Media Rights Escalation	Inflation-linked contracts reset at higher rates at renewal. NFL with a $10B/yr comparable to Netflix's entire $16bn global content budget
EBITDA Growth (Ops)	Revenue professionalization + digital monetization unlocks EBITDA re-rating. Liverpool: revenue grew ~100%+ since FSG acquisition; first profit for AC Milan after ~2 decades following Elliott-led restructuring
Multiple Expansion	PE-led commercial transformation drives multiple expansion at exit, which is validated by record franchise valuations. Dallas Cowboys: $12.8bn (up from ~$1bn in 2000)
Capital Structure Upside	Apollo analysis: sports teams at ~10% LTV vs 40–70% in real estate, healthcare, infrastructure. Hybrid structures capture equity-like upside with credit-like risk

Source(s): Apollo Global Management, Telecoming/Juniper Research (2024), Thomson Reuters

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Section IV: Case Studies

Case Study: FSG × Liverpool FC

From Distressed Club to £6B Global Sports Powerhouse – A Blueprint for Club Value Creation

£300m	~£6bn	~20×	£718m
Purchase Price (2010)	Current Valuation (2025)	Value Multiple	Revenue 2024/25 (+17% YoY)

INVESTMENT THESIS & STRATEGY	
Distressed Entry	Acquired from Hicks & Gillett for £300m (2010). Club had £300m+ debt, fan unrest, and falling on-field performance.
Data-Driven Recruitment	Moneyball-style analytics (Red Sox model) transformed scouting to AI-assisted, like Ajax model. Visible in signing of Van Dijk, Salah, Alisson at correct valuations.
Commercial Build-Out	Anfield expansion from 45k to 60k+, AXA training ground, partnerships with Nike, Standard Chartered, Japan Airlines. 431m global fans.
Digital Fan Monetization	Leveraged global fan base for digital revenue. European fan digital spending +76% by 2028. Liverpool's $1.5bn US rights valuation underpins platform scale.

KEY OUTCOMES

- Champions League 2019 (first in 14 years)
- Premier League 2020 & 2024/25
- Revenue grew 100%+ since FSG acquisition
- Commercial revenue: £336m (2024/25)
- Dynasty Equity minority stake at ~$150-200m (2023)
- Debt reduced to £38m; £51m pre-tax profit (2024/25)
- Anfield capacity: 45,276 → 60,000+ (in progress)
- RedBird invested $750m in FSG as strategic partner

Source(s): Deloitte Football Money League 2025, Sportico, Apollo Global Management (Dec 2025, for digital context), Houlihan Lokey (Fall 2025)

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Case Study: CVC Capital Partners × Formula One

The Quintessential PE Sports Investment – Transforming a Fragmented Racing Series into a $8bn Media & Entertainment Empire

$1.1bn	$8bn	4×	$14bn
Purchase Price (2006)	Sale to Liberty Media (2016)	Return Multiple	CVC Sports AUM Today

CVC'S Value Creation Playbook at F1 (2006–2016)

Governance Reform	Media Rights Consolidation	Race Calendar Expansion	Cost Control Framework
Consolidated fragmented commercial rights under single entity; restructured team payment agreements to give F1 central commercial control.	Centralized broadcast rights globally, moving from national deals to a unified rights package marketed to premium networks and streamers.	Added Grands Prix in Abu Dhabi (2009), India (2011), Austin (2012). Today: 24-race calendar, ~4m fans at 14 mid-season races. F1 social following: 100m+, up 21% YoY.	Imposed cost caps and resource restriction agreements (RRAs) to improve team economics and reduce risk of competitive collapse. Attracted manufacturer investment.
→ Enabled unified media and sponsorship packaging	**→ Revenue compounded at >8% p.a. during holding period**	**→ Hosting fees grew from ~$5m to $50m+ per race**	**→ Improved reliability and attractiveness for investors**

CVC scaled Formula One into a global, media-driven platform through commercial centralization and expansion of the race calendar, demonstrating how institutional ownership can unlock value in sports through improved governance and commercial execution

Source(s): Apollo Global Management (Dec 2025), Formula Rapida (Dec 2024), McKinsey Sports Investment Tracker, CVC Capital Partners

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Section V: Risks, Criticism & Outlook

Market Outlook

Investment Landscape – Institutionalization , Deal Flow & Financing Gaps

$463bn

Global Sports Market (2024)

~$463bn global industry, driven by media rights and sponsorship growth

410

Deal Count

410 sports M&A transactions in 2024; PE deal count nearly doubled YoY

13%

CAGR Franchise Value (60 yrs)

Historically outperforming traditional asset classes

Institutionalization Timeline

Pre-2000s	2010s	2019	2024	Today
Individual Ownership Only	PE Enters via F1 & PSG	MLB Opens to PE	NFL Lifts Ban	Sports as Asset Class

Financing Gap as Core Opportunity

Most franchises financed at only ~10% LTV. Private credit, hybrid capital, and structured solutions can unlock this gap

Participation Remains in Early Stages

Capital penetration is still low, first movers who can navigate league structures and price risk will capture disproportionate returns

Niche Sports & Women's Sports Represent New Frontiers

Beyond the majors, golf, tennis, F1, UFC, and women's sports are transitioning from niche to mainstream, creating a new wave of PE-investable assets

Source(s): Apollo Global Management, Oaklins, Meketa Capital, Deloitte

Criticisms & Challenges

Financial Gains vs. Governance, Fan Relations & On-Field Performance

Fan Relations & Governance

- PE cost optimization risks pricing out loyal core fan base
- Frequent chairman and management changes destabilize club culture
- League restrictions cap influence: NFL ≤10% per investor, 6-yr lockup
- Majority stakes (Italy/France) enable restructuring; minority stakes (Spain/Germany) limit control

Structural & Financial Risk

- No public market for sports stakes, making it illiquid, with narrow exit windows
- 10% LTV vs. 40-70% in comparable asset classes shows structural underdeveloped
- Financial gains concentrated in matchday and commercial revenue
- Long holding periods due to operational value creation and limited exit liquidity

On-Field Performance

- Short-term roster and management turnover disrupts team chemistry
- Revenue-first priorities can divert resources away from player development
- PE return timelines misalign with the urgency of competitive seasons
- Cost optimization pressures conflict with the investment needed to field a winning team

PE's commercial playbook with higher ticket prices, media deals, and sponsorship revenue delivers financial returns, but often at the expense of sporting competitiveness, fan affordability, and long-term club identity. The fundamental tension between profit maximization and athletic success remains structurally unresolved.



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